

M/s Threads India Limited v. Dakshinanchal Vidyut Vitran Nigam Ltd.

High Court of Judicature at Allahabad · Division Bench · 19 December 2017 · Writ-C No. 15571 of 2014 · **Writ dismissed following Dev Prayag; additional security demand not bad.**

HEADNOTE

A consumer's writ to quash an additional-security bill under clause 4.20 of the U.P. Electricity Supply Code, 2005, and to strike down clause 4.20(i)(L) as ultra vires ss. 47(4) and 47(5) of the Electricity Act, 2003, was dismissed. A coordinate Bench in Dev Prayag Paper Mill had already held that demand of additional security by the distribution licensee is not bad; this petition failed for those reasons.

FACTUAL SUMMARY

M/s Threads India Limited challenged Dakshinanchal Vidyut Vitran Nigam Ltd.'s bill dated 21 February 2014 for Rs.54,74,938 as additional security under clause 4.20 of the U.P. Electricity Supply Code, 2005. It also sought interest on and refund of security already deposited, and declarations that amended clause 4.20(i)(L) was ultra vires sections 47(4) and 47(5) of the Electricity Act, 2003 and retrospective from 10 June 2003. An earlier Division Bench had stayed the demand on 12 March 2014.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.20

additional security deposit

HOLDING

The writ seeking to quash an additional-security demand under clause 4.20, and to declare clause 4.20(i)(L) of the 14.9.2006 amendment ultra vires ss. 47(4) and 47(5) of the Electricity Act, 2003 (and retrospective from 10.6.2003), is dismissed. Following Dev Prayag Paper Mill (Writ-C No. 30898 of 2016, 21.3.2017), demand of additional security by the distribution licensee is not bad. ¶ 3-4

FLAG petition pleaded cl. 4.20(i)(L) and cl. 4.20(i) of the 2006 amendment; Court did not separately parse those sub-clauses

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>M/s Dev Prayag Paper Mill (Pvt.) v. State of U.P.</i> Writ-C No. 30898 of 2016 (21 March 2017)			3-4	followed
<i>M/s Supreme Ceramics Limited v. Paschimanchal Vidyut Vitran Nigam Ltd.</i> Writ Petition No. 51844 of 2009 (order dated 7.10.2009)			1	referred